

# PAGERO



## Country Compliance Report:

# Australia

Information class: Restricted



## Country Compliance Report: Australia

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Author: Mariana Fagundez  
Approver: Trent Targa

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## Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.





# 1. Terminology

This section outlines general and country-specific terminology for Australia, which will be used throughout the whole document.

| Term                   | Explanation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>ABN Lookup</b>      | ABN Lookup is the free public view of the Australian Business Register (ABR). It provides access to publicly available information supplied by businesses when they register for an Australian Business Number (ABN)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Adjustment note</b> | <p>Generally, a valid adjustment note is needed before you can make a decreasing adjustment, unless the adjustment is for GST of \$75 or less. For example, an adjustment event that discounts the payment for the original sale of the goods or services by \$660 results in a decreasing adjustment (GST liability) of \$60. As this is below the \$75 threshold there is no need to issue an adjustment note. It is not required for attribution purposes either.</p> <p>There may be other circumstances where you do not have to hold an adjustment note. If you need to report an adjustment but you don't have the required adjustment note when you lodge your activity statement, you report the adjustment in the first activity statement you lodge after receiving the adjustment note.</p> <p>It is not possible make a decreasing adjustment for a transaction that didn't include GST, even if there is a document from a supplier that states it is an adjustment note.</p> |
| <b>ATO</b>             | The Australian Taxation Office is an Australian statutory agency and the principal revenue collection body for the Australian Government. The ATO has responsibility for administering the Australian federal taxation system, superannuation legislation, and other associated matters.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>BER</b>             | "Business e-invoicing right". The buyer (recipient of the invoice) has the right to request an e-invoice through Peppol from the supplier.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>GST</b>             | Goods and Services Tax (GST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Peppol</b>     | The Peppol Network is a logical network enabling a secure and reliable exchange of Peppol Dataset Types between End Users via Peppol Service access points.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Post Audit</b> | The post-audit tax regime allows trading partners to exchange e-documents as well as other transactional documents directly with each other, without any real-time or immediate controls performed by the tax office. Even though e-documents are allowed, there are no provisions as to what format, infrastructure, or how they should be created, issued, or distributed. The main requirements on the taxpayers are to ensure document content, integrity, and authenticity, as well as appropriate archiving. The term post-audit stems from the fact that Tax audits can be performed months or years after the transactions originally took place       |
| <b>RCTI</b>       | <p>Recipient-created tax invoice (RCTI) also called self billing in other countries. Is an invoice type created by the consuming business or good/service purchaser. The seller may not be able to provide a tax invoice at the time of delivery or pick-up. In these circumstances, the buyer may issue a tax invoice.</p> <p>The requirements to issue an RCTI include:</p> <ul style="list-style-type: none"> <li>- the buyer must be approved by the supplier to issue RCTIs</li> <li>- the RCTI should be issued within 28 days of making or determining the value of the purchase</li> <li>- both the buyer and seller must have a valid ABN.</li> </ul> |



## 2. General overview

This section provides an initial introduction into the local e-invoicing environment within Australia, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

| Item                                                                                                   | Commentary                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Authorities and other agencies relevant for e-invoicing</b>                                         | <ul style="list-style-type: none"><li>• <a href="#">The Australian Tax office (ATO)</a></li><li>• <a href="#">Digital Business Council</a><sup>1</sup></li><li>• <a href="#">DSPANZ (Digital Service Provider Australian and New Zealand)</a></li><li>• <a href="#">ACCC (Australian Competition &amp; consumer Commission)</a></li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention</b> | <ul style="list-style-type: none"><li>• The <a href="#">2020-21</a> Federal Budget</li><li>• <a href="#">Goods and Services Tax Act 1999</a></li><li>• <a href="#">Electronic Transactions Act 1999</a></li><li>• <a href="#">Taxation Administration Act 1953</a></li><li>• <a href="#">GSTR 2000/17</a> Goods and services tax: tax invoices</li><li>• <a href="#">GSTR 2001/8</a> Goods and services tax: Apportioning the consideration for a supply that includes taxable and non-taxable parts</li><li>• <a href="#">GSTR 2013/1</a> Goods and Services Tax Ruling</li><li>• <a href="#">GSTR 2000/37</a> Goods and services tax: agency relationships and the application of the law</li><li>• <a href="#">LCR 2016/ Law Companion Ruling</a></li></ul> |

<sup>1</sup> The Digital Business Council is an industry-led body that is focused on establishing a national set of e-invoicing frameworks. The framework is currently not mandatory.



### 3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

| Item                                                        | Commentary                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|-------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>E-invoice status</b>                                     | <ul style="list-style-type: none"><li>• Allowed</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Varying invoicing regimes<sup>2</sup></b>                | <ul style="list-style-type: none"><li>• Single regime</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>e-Invoicing model</b>                                    | <ul style="list-style-type: none"><li>• B2G – Post Audit / Peppol</li><li>• B2B – Post Audit / Peppol</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>e-Invoice definition<sup>3</sup></b>                     | <ul style="list-style-type: none"><li>• Electronic invoicing (e-invoicing) is the automated exchange of invoices directly between buyers' and suppliers' financial systems.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Scope of taxpayers the e-document mandate applies to</b> | <ul style="list-style-type: none"><li>• Since 1 July 2022, B2G: All <a href="#">public contracting authorities</a> covered by the mandate are able to receive and process Peppol e-invoices</li><li>• Australia announced the adoption of the Peppol framework for e-invoicing in February 2019 and it anticipated that the B2B mandate would be closely aligned to the B2G timeframe as well. The Australian Treasury has released the <a href="#">consultation paper</a> for organisations and interested parties to provide feedback on <a href="#">three distinct routes</a> to accelerating e-invoicing adoption.<ul style="list-style-type: none"><li>◦ Option 1: a phased approach to introducing a requirement that all businesses adopt Peppol e-invoicing (without prohibiting paper invoices)</li><li>◦ Option 2: a mandate for large businesses only</li><li>◦ Option 3: non-regulatory options, such as a voluntary code of e-invoicing</li></ul></li></ul> |

<sup>2</sup> It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

<sup>3</sup> Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



|                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|--------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                  | <p>and/or promotion of Peppol e-invoicing by enabled organisations</p> <ul style="list-style-type: none"> <li>• In 2019, Australia adopted the Australian Government adopted the Peppol framework</li> </ul>                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Mandatory AoR (document response) process</b> | <ul style="list-style-type: none"> <li>• No explicit requirement</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Implementation / roll-out plan</b>            | <ul style="list-style-type: none"> <li>• Mandatory for issuing: No, voluntary</li> <li>• Mandatory for receiving: B2G <ul style="list-style-type: none"> <li>◦ As of July 2021, all large Commonwealth Government agencies must be able to receive Peppol e-invoices</li> <li>◦ The New South Wales (NSW) governmental agencies are obliged to adopt e-invoicing for goods and services up to the value of AUD 1 million by January 2022</li> <li>◦ As of July 2022, smaller Commonwealth Government agencies must be able to receive Peppol e-invoices</li> </ul> </li> </ul> |



## 4. Before switching to e-invoices

### 4.1. IT<sup>4</sup> registration

The following thresholds apply to the requirement to be registered for an IT number in Australia:

- Business with local offices and overseas businesses in Australia must register for tax if it has a turnover of AUD75,000 or more per year.
- For non profit organisations, the annual threshold is a turnover of AUD150,000 or more per year.
- Business providing taxi or limousine travel (including ride-sourcing services like Uber, GoCatch, Didi or OLA) regardless of GST turnover
- The business want to claim fuel tax credits for your business, regardless of the business GST turnover
- Non-resident businesses outside of Australia may need to register for Australian goods and services tax (GST) if they are selling things connected with Australia.

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Australian IT number format (ABN): 51 824 753 556

#### **Registration and entitlement:**

Businesses apply for an ABN at the Australian Government's Business Registration and is necessary for operating a business. The ABN number can be acquired if: carrying on or starting an business in Australia, making supplies connected with Australia's indirect tax zone or a Corporations Act company. If an organisation is located outside Australia, will require an ABN if it is carrying operations in Australia, or making supplies connected with Australia's indirect tax zone.

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<sup>4</sup> For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

## 4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

| Item                                                                                                                     | Commentary                                                                                                                                                                                                                                         |
|--------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Actions towards authorities, required in order to enable electronic processing instead of conventional processing</b> | <ul style="list-style-type: none"> <li>No explicit requirements</li> </ul>                                                                                                                                                                         |
| <b>Actions between the trading partners, e.g. customer acceptance, agreement, etc.</b>                                   | <ul style="list-style-type: none"> <li>Buyer's consent is needed. Can be tacit (e.g. by processing or payment of the invoice).</li> <li>Once BER is approved, the recipient will have the right to request an e-invoice through Peppol.</li> </ul> |
| <b>Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed</b>    | <ul style="list-style-type: none"> <li>Not specified by law</li> </ul>                                                                                                                                                                             |

## 4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

| Item                                                                                                                                  | Commentary                                                                                                         |
|---------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>Whether outsourcing of invoice issuance (creation) is allowed or not</b>                                                           | <ul style="list-style-type: none"> <li>Allowed</li> </ul>                                                          |
| <b>Whether statement of outsourced issuance is required on the invoice</b>                                                            | <ul style="list-style-type: none"> <li>Not explicitly required</li> </ul>                                          |
| <b>Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf</b>         | <ul style="list-style-type: none"> <li>Not explicitly required. However, Pagero strongly recommends it.</li> </ul> |
| <b>Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party</b>                       | <ul style="list-style-type: none"> <li>Not explicitly required</li> </ul>                                          |
| <b>Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance</b> | <ul style="list-style-type: none"> <li>Not explicitly required</li> </ul>                                          |

**Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer**

- Must be a Peppol access point, if sending invoices through the network
- A list of Peppol service providers can be found [here](#)

#### 4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Australia has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).





## 5. Document processing

### 5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

| Item                                                                                                             | B2G                                                                                                                                                                                                    | B2B                                                                                                                                                                                                    |
|------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties</b> | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                                                                                                                 | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                                                                                                                 |
| <b>Other document format(s) commonly used for exchange between trading parties</b>                               | <ul style="list-style-type: none"><li>• <a href="#">A-NZ Peppol BIS 3.0</a></li><li>• Paper</li></ul>                                                                                                  | <ul style="list-style-type: none"><li>• PDF, Word, Paper, ANZ Peppol</li></ul>                                                                                                                         |
| <b>Mandated platform(s) required to have connection with for e-document processing</b>                           | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                                                                                                                 | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                                                                                                                 |
| <b>Other platform(s) relevant for e-document processing</b>                                                      | <ul style="list-style-type: none"><li>• N.a</li></ul>                                                                                                                                                  | <ul style="list-style-type: none"><li>• N.a.</li></ul>                                                                                                                                                 |
| <b>Schematron(s), XSD schema or other official mechanisms ensuring document content</b>                          | <ul style="list-style-type: none"><li>• <a href="#">AUNZ-UBL-validation.s</a></li><li>• <a href="#">AUNZ-PEPPOL-validation.schch</a></li><li>• <a href="#">AUNZ-PEPPOL-SB-validation.sch</a></li></ul> | <ul style="list-style-type: none"><li>• <a href="#">AUNZ-UBL-validation.s</a></li><li>• <a href="#">AUNZ-PEPPOL-validation.schch</a></li><li>• <a href="#">AUNZ-PEPPOL-SB-validation.sch</a></li></ul> |

|                                                                                             |                                                                                           |                                                                                           |
|---------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| <b>Routing ID's / codes or other identifiers used in the jurisdiction for counter-party</b> | <ul style="list-style-type: none"> <li>• Peppol Australia prefix: 0151</li> </ul>         | <ul style="list-style-type: none"> <li>• Peppol Australia prefix: 0151</li> </ul>         |
| <b>identification and document exchange</b>                                                 | <ul style="list-style-type: none"> <li>• No information is currently available</li> </ul> | <ul style="list-style-type: none"> <li>• No information is currently available</li> </ul> |
| <b>Other technical aspects</b>                                                              | <ul style="list-style-type: none"> <li>• N.a.</li> </ul>                                  | <ul style="list-style-type: none"> <li>• N.a.</li> </ul>                                  |

## 5.2. Communication with HUB

Regulations in Australia foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

| Communication options | Commentary                                               |
|-----------------------|----------------------------------------------------------|
| <b>Automated</b>      | <ul style="list-style-type: none"> <li>• N.a.</li> </ul> |
| <b>Manual</b>         | <ul style="list-style-type: none"> <li>• N.a.</li> </ul> |
| <b>Other options</b>  | <ul style="list-style-type: none"> <li>• N.a.</li> </ul> |

## 5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

### 5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

There are no explicit requirements for e-invoice issuance in Australia. The form and exchange mechanism with the intended recipient can be freely agreed upon.

#### **B2B e-invoicing follows the post-audit model.**

- (1) Documents can be exchanged between suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences
- (2) The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as archiving requirements
- (3) Neither document format nor exchange mechanism are regulated

The Australian Treasury released a consultation [paper](#) on November 2020 stating options for mandatory e-invoicing adoption by businesses. Organizations and interested parties could provide feedback on three distinct routes to accelerating e-invoicing adoption in the private sector:

- (1) Phased approach to introducing a requirement that all businesses adopt Peppol e-invoicing (without prohibiting paper invoices)
- (2) Mandate for large businesses only
- (3) Non-regulatory options, such as a voluntary code of e-invoicing and/or promotion of Peppol e-invoicing by enabled organisations

The Australian Treasury released a consultation [paper](#) on December 2021 regarding the acceleration of business adoption of electronic invoicing.

### **B2G e-Invoicing (voluntary)**

- (1) The supplier provides data to the sending service provider (SSP)
- (2) SSP/supplier validates the invoice against A-NZ Schema and sends the final e-document to the receiving service provider (RSP) in Peppol BIS 3.0 A-NZ extension format through the Peppol network
- (3) RSP relays the received e-document to the contracting authority
- (4-6) Return communication from the buyer to the supplier, i.a. receipt acknowledgment, document approval, or rejection, which is optional in Australia. In most circumstances, none of the senders can send AoR and few receivers are able to accept AoR.

For the B2G issuance process of e-documents, all public authorities can receive e-invoices through the Peppol Network.

### **5.3.2. Cross-Border**

This section describes the requirements for Cross-Border outbound documents such as sales invoices

Cross border outbound documents are not explicitly regulated. However, as a part of the cross-border transactions Australia and New Zealand have signed the trans-tasman electronic invoicing arrangement. The objective of the Arrangement is to create and maintain a common Australia and New Zealand e-Invoicing approach through Peppol in the region. The two countries have therefore adopted a format (Peppol BIS 3.0 A-NZ extension) which follows the Peppol BIS Billing 3.0 guidelines with Australia and New Zealand GST rules (instead of VAT).

Exports of goods and services from Australia are generally GST-free. If the business is registered for GST, this means that GST does not have to be included in the price of exports. Furthermore, it is possible to claim credits for the GST included in the price of purchases you use to make your exported goods and services.

## **5.4. Reception and validation process**

This section describes the document reception, validation and acceptance processes from the buyer perspective.

Buyer's consent is needed in order to receive an e-invoice. It can be tacit (e.g. by processing or payment of the invoice).

#### 5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

There are no particular e-invoicing requirements in regard to reception capabilities or method of exchange for private businesses in Australia. However, the public authorities will mandate e-invoicing for all agencies by 1 July 2022, with over 80% of invoices being able to be received electronically by 1 July 2021. It will also consult on options for mandatory adoption of e-invoicing across all levels of government and by businesses.

From 1 July 2022, businesses who submit e-invoices (B2G) under a contract valued up to \$1 million (GST inclusive) to any Commonwealth agencies, will be paid within 5 days or receive interest on late payments.

#### 5.4.2. Cross-Border

This section describes the requirements for Cross-Border inbound documents such as purchase invoices

Cross-Border inbound invoices are not explicitly regulated in Australia. To complete the clearance process shipping documents are required, the type of documents needed for importing or exporting transactions usually depend on the type of goods. Documents may have to be prepared in a particular way to comply with the requirements of the import or export country. In general, importing or exporting transaction usually requires a commercial invoice, quarantine packing declaration, packing list, bill of Lading and an insurance certificate, depending on incoterms

If the business has an Australian Business Number (ABN) it will need to supply it when formally entering goods. The business needs to be registered for GST purposes and have an ABN to claim input tax credits or access the GST deferral scheme.

### 5.5. AoR (response) process

In Australia, there is no explicit requirement for the buyer to submit a business response (approve or reject) upon receipt of the invoice.

### 5.6. HUB validations

Some tax regimes require businesses to send tax documents to a predetermined hub before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In Australia there is no mandatory infrastructure conducting validations. However, for invoices sent via Peppol there will be invoice validations carried out from the certified Peppol Access Point to ensure the invoice contains the necessary information required.

## 5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

This process is in line with ATO guidance in [GSTR 2000/17](#) which suggests that duplicates be marked "copy" or "duplicate" to enable easier identification of the document.

## 5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

In Australia there are no regulations on regards of invoice distribution.

## 5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

| Rectification process                                                                                                               |                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| <b>What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice</b>    | <ul style="list-style-type: none"> <li>• Invoice cancelation. Typically, a supplier would re-issue a corrected tax invoice</li> </ul> |
| <b>What are the options to correct an invoice if the customer returns the goods</b>                                                 | <ul style="list-style-type: none"> <li>• Corrective document. Typically, a supplier would issue an 'adjustment note'</li> </ul>       |
| <b>What are the options to correct an invoice if the customer paid too much</b>                                                     | <ul style="list-style-type: none"> <li>• Corrective document. Typically, a supplier would issue an 'adjustment note'</li> </ul>       |
| <b>What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer</b> | <ul style="list-style-type: none"> <li>• Corrective document. Typically, a supplier would issue an 'adjustment note'</li> </ul>       |



|                                                                                                                                                                       |                                                                                                                                         |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.</b>                                | <ul style="list-style-type: none"> <li>• Invoice cancellation. Typically, a supplier would re-issue a corrected tax invoice.</li> </ul> |
| <b>Other scenarios with different correction option</b>                                                                                                               | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                  |
| <b>Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)</b>                                                         | <ul style="list-style-type: none"> <li>• Supplier</li> </ul>                                                                            |
| <b>Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                  |

## 5.10. Coexistence of paper and electronic invoices

| Item                                                                                                                                                                                                   | Commentary                                                                                                     |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| <b>Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it</b> | <ul style="list-style-type: none"> <li>• There are no specific requirements</li> </ul>                         |
| <b>Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving</b>                                  | <ul style="list-style-type: none"> <li>• Allowed</li> <li>• No prior approval required from the ATO</li> </ul> |
| <b>Whether any conditions apply, and which, to the dematerialisation</b>                                                                                                                               | <ul style="list-style-type: none"> <li>• N.a.</li> </ul>                                                       |
| <b>Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving</b>                              | <ul style="list-style-type: none"> <li>• Allowed</li> <li>• No explicit regulations</li> </ul>                 |
| <b>Whether any conditions apply, and which, to the materialisation</b>                                                                                                                                 | <ul style="list-style-type: none"> <li>• N.a.</li> </ul>                                                       |

## 5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There is no specific regulation on this matter in Australia. There are multiple channels for invoice submission to the Australian public sector, if one channel, i.e. Peppol, is not functioning, issuance via another interim channel, i.e. PDF by email, or paper is allowed.



## 6. Document content requirements

### 6.1. Document types

| Item                                                | Commentary                                                                                                                                                                                                              |
|-----------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Documents mandatory for issuance by supplier</b> | <ul style="list-style-type: none"><li>• Complete invoice</li><li>• Credit / debit note</li><li>• Adjustment note</li><li>• Invoice cancellation. Typically, a supplier would re-issue a corrected tax invoice</li></ul> |
| <b>Documents mandatory for issuance by buyer</b>    | <ul style="list-style-type: none"><li>• No</li></ul>                                                                                                                                                                    |

| Item                              | Commentary                                                                                                                                                                            |
|-----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Self-billing allowed</b>       | <ul style="list-style-type: none"><li>• Yes, Recipient created tax invoices (RCTIs) are permitted in certain circumstances (as determined by the Commissioner of Taxation).</li></ul> |
| <b>Simplified invoice allowed</b> | <ul style="list-style-type: none"><li>• Yes, Tax invoices for supplies of less than AUD 1,000 do not need to show any details about the customer.</li></ul>                           |

### 6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

#### 6.2.1. Document numbering by the taxpayer

| Item                                                                                           | Commentary                                                                          |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <b>A sequential number, based on one or more series, which uniquely identifies the invoice</b> | <ul style="list-style-type: none"><li>• Sequential numbering not required</li></ul> |
| <b>Different series of sequential numbers allowed (e.g. a separate sequential</b>              | <ul style="list-style-type: none"><li>• Yes</li></ul>                               |

|                                                                                                                                                                               |                                                                                             |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| <b>numbering for intercompany billings, credit notes, etc.)</b>                                                                                                               |                                                                                             |
| <b>Allowed to start a new sequential numbering every year</b>                                                                                                                 | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                     |
| <b>Worldwide numbering on legal entity level allowed provided that gaps can be explained</b>                                                                                  | <ul style="list-style-type: none"> <li>• No, numbering required per registration</li> </ul> |
| <b>Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>                                      |

The numbering must be unique and chronological, gaps between numbers are permitted. Different number ranges for branches, permanent establishments, etc. or invoice patterns are allowed to be used. Combination of letters and numbers is possible. Corrective invoices do not require their own sequence.

### 6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

### 6.3. Indirect tax (IT)<sup>5</sup> rates

This section illustrates the applied IT<sup>6</sup> rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

| <b>Indirect tax rates</b>                                             |                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-----------------------------------------------------------------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>10%</b>                                                            | <b>Standard</b> | All other taxable goods and services.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>0%</b>                                                             | <b>Zero</b>     | Most basic foods, some education courses, course materials and related excursions or field trips, some medical - health and care services, some medical aids and appliances, some medicines, some childcare services, some religious services and charitable activities, supplies of accommodation and meals to residents of retirement villages by certain operators, cars for disabled people to use - as long as certain requirements are met, water, sewerage and drainage, international transport, precious metals, grants of land by government, farmland, international mail, sales of businesses as going concerns, some telecommunications supplies, eligible emissions units |
| <b>0%</b>                                                             | <b>Exempt</b>   | Sales through duty-free shops                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>WET (GST applies inclusive amounts) rates applied in Australia</b> |                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

<sup>5</sup> For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

<sup>6</sup> Local name GST

|            |                 |                                                                                                                         |
|------------|-----------------|-------------------------------------------------------------------------------------------------------------------------|
| <b>29%</b> | <b>Standard</b> | When, importing wine into Australia or sell it by wholesale, you'll generally have to account for wine equalisation tax |
|------------|-----------------|-------------------------------------------------------------------------------------------------------------------------|

| <b>LCT (GST applies exclusive amounts) rates applied in Australia</b> |                 |                                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>33%</b>                                                            | <b>Standard</b> | <ul style="list-style-type: none"> <li>Luxury car tax (LCT) is a tax on cars with a GST-inclusive value above the LCT threshold.</li> <li>LCT is imposed at the rate of 33% on the amount above the luxury car threshold.</li> <li>LCT is paid by businesses that sell or import luxury cars (dealers), and also by individuals who import luxury cars</li> </ul> |

## 6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Australia. Please note that other additional content requirements might apply in addition, i.a. of technical character.

| <b>General</b>                                                                                                                |                                                                                                                                                                                                                                 |
|-------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Required to mention the word "invoice"</b>                                                                                 | <ul style="list-style-type: none"> <li>Yes, the words "tax invoice" are required, or at least enough information on the document for it to be clearly ascertained that the document is intended to be a tax invoice.</li> </ul> |
| <b>Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:</b> | <ul style="list-style-type: none"> <li>No, but translation can be requested</li> </ul>                                                                                                                                          |
| <b>Sequential numbering</b>                                                                                                   | <ul style="list-style-type: none"> <li>Not required</li> </ul>                                                                                                                                                                  |
| <b>Required to mention copy or duplicate in case a copy is issued</b>                                                         | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                            |
| <b>Reference in case of outsourced issuance</b>                                                                               | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                            |

| <b>Supplier data</b>                                                   |                                                                                                                                                                                                                                                                                              |
|------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full legal name of the supplier</b>                                 | <ul style="list-style-type: none"> <li>A tax invoice must include information to establish "the supplier's identity". Information sufficient to identify the supplier includes, but is not limited to, the legal name of the supplier or the supplier's registered business name.</li> </ul> |
| <b>Allowed to abbreviate or shorten the legal name of the supplier</b> | <ul style="list-style-type: none"> <li>Yes, provided that the tax invoice includes enough information to enable "the supplier's identity" to be clearly ascertained.</li> </ul>                                                                                                              |

|                                                                                                                                |                                                                                                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full address of the supplier in country of establishment</b>                                                                | <ul style="list-style-type: none"> <li>No, Address details are not a GST tax invoice requirement</li> </ul>                                                                                                            |
| <b>Allowed to mention the PO box address instead of the legal address of the supplier</b>                                      | <ul style="list-style-type: none"> <li>Yes</li> </ul>                                                                                                                                                                  |
| <b>IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes</b> | <ul style="list-style-type: none"> <li>Yes, if a registration is available in the country of supply</li> </ul>                                                                                                         |
| <b>IT identification number of the supplier in the country of establishment</b>                                                | <ul style="list-style-type: none"> <li>Yes, generally, GST-registered entities established in Australia are identified by their Australian Business Number (ABN) – a unique 11-digit identification number.</li> </ul> |
| <b>Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)</b>                 | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                   |
| <b>Legal form of the supplier</b>                                                                                              | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                   |
| <b>Trade register number of the supplier</b>                                                                                   | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                   |
| <b>Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)</b>                         | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                   |
| <b>Place of legal seat of the supplier (Headquarters)</b>                                                                      | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                   |
| <b>Other supplier data</b>                                                                                                     | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                   |

| <b>Customer data</b>                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full legal name of the customer</b>                                                  | <ul style="list-style-type: none"> <li>No, the customer's unique identifier (Australian Business Number-ABN) is sufficient identification of the customer for a tax invoice under Australian GST law.</li> <li>Tax invoices for supplies of AUD 1,000 or more need to show the customer's "identity or ABN" (i.e., the recipient's identity must be clearly ascertainable).</li> <li>Tax invoices for supplies of less than AUD 1,000 do not need to show any customer information.</li> </ul> |
| <b>Allowed to abbreviate or shorten the legal name of the customer</b>                  | <ul style="list-style-type: none"> <li>Yes, the requirement, for tax invoices for supplies of AUD 1,000 or more, that the customer's "identity or ABN" is shown, must be satisfied (i.e. the recipient's identity must be clearly ascertainable).</li> </ul>                                                                                                                                                                                                                                   |
| <b>Address of the customer in country of establishment</b>                              | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Bill-to address when it is different from the registered address of the customer</b> | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                           |

|                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer</b>                                    | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                                                                              |
| <b>IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)</b>            | <ul style="list-style-type: none"> <li>• Yes, however, the customer's identification number (i.e., Australian Business Number - ABN) is not required if the invoice identifies the customer by name (e.g. legal name or trading name). Further, the need to include the customer's ABN or other identifying information (e.g. customer's name) only applies to tax invoices for supplies above AUD 1,000.</li> </ul> |
| <b>IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies</b>                          | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                               |
| <b>IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies</b>                   | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                               |
| <b>Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)</b> | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                               |
| <b>Other customer data</b>                                                                                                                         | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                               |

| <b>Transaction data</b>                                                                                                               |                                                                                                                                                                                                              |
|---------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Date of issue</b>                                                                                                                  | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                      |
| <b>Date of supply (chargeable event)</b>                                                                                              | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                       |
| <b>Date of prepayment</b>                                                                                                             | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                       |
| <b>Description of the goods/services</b>                                                                                              | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                      |
| <b>Quantity of the goods supplied or the extent of the services supplied</b>                                                          | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                      |
| <b>Purchase order number</b>                                                                                                          | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                       |
| <b>Shipped from location (for the supply of goods)</b>                                                                                | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                      |
| <b>Shipped to location (for the supply of goods)</b>                                                                                  | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                      |
| <b>Status of the goods (e.g. in bond, in free circulation)</b>                                                                        | <ul style="list-style-type: none"> <li>• No, but recommended</li> </ul>                                                                                                                                      |
| <b>Incoterms</b>                                                                                                                      | <ul style="list-style-type: none"> <li>• No, but recommended</li> <li>• Especially in case of cross-border transactions</li> </ul>                                                                           |
| <b>Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)</b> | <ul style="list-style-type: none"> <li>• Enough information to enable the following to be clearly ascertained: <ul style="list-style-type: none"> <li>- The price of what is supplied</li> </ul> </li> </ul> |



|  |                                                                                                                                                                                                                                                                                                |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <ul style="list-style-type: none"> <li>- The extent to which each supply is a taxable supply</li> <li>- The amount of GST (if any) payable in relation to each supplied item /service</li> <li>- If the tax invoice is issued by the customer, that GST is payable by the supplier.</li> </ul> |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

| Financial data                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                    |
|-----------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Taxable base per item (unit price excl. IT)</b>                                                                          | <ul style="list-style-type: none"> <li>• Where the supply comprises multiple taxable items that are identified separately on a tax invoice, the price for each item does not have to be shown. Only enough information to determine the price of what is supplied must be shown. This may be the total amount of all the lines or items added together.</li> </ul> |
| <b>Total taxable base per IT rate or exemption</b>                                                                          | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                             |
| <b>IT rate applied</b>                                                                                                      | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                             |
| <b>Total IT amount calculated per rate</b>                                                                                  | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                             |
| <b>Total IT amount payable</b>                                                                                              | <ul style="list-style-type: none"> <li>• Yes, the total GST amount payable can be shown separately or, if the GST amount is exactly one-eleventh of the total price, by including a statement such as 'Total price includes GST'</li> </ul>                                                                                                                        |
| <b>Discounts/rebates if not included in the unit price</b>                                                                  | <ul style="list-style-type: none"> <li>• No, there needs to be enough information to enable the price of what is supplied to be clearly ascertained.</li> </ul>                                                                                                                                                                                                    |
| <b>Total gross amount (including IT)</b>                                                                                    | <ul style="list-style-type: none"> <li>• Yes</li> </ul>                                                                                                                                                                                                                                                                                                            |
| <b>Mandatory to mention the total IT amount due in the national currency</b>                                                | <ul style="list-style-type: none"> <li>• No, however, a tax invoice that includes the GST payable in foreign currency must also provide sufficient information for the customer to work out the GST payable on the supply in Australian currency.</li> </ul>                                                                                                       |
| <b>Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country</b> | <ul style="list-style-type: none"> <li>• None</li> </ul>                                                                                                                                                                                                                                                                                                           |
| <b>Exchange rate (if the invoice is not issued in the local currency)</b>                                                   | <ul style="list-style-type: none"> <li>• Yes, a tax invoice that includes the GST payable in foreign currency must also provide sufficient information for the customer to work out the GST payable on the supply in Australian currency.</li> </ul>                                                                                                               |
| <b>Which exchange rate must be applied in order of priority</b>                                                             | <ul style="list-style-type: none"> <li>• Generally, the supplier chooses the exchange rate. The exchange rate that is chosen may be an agreed rate or may come from the Reserve Bank of Australia or from the publicly available rates of a</li> </ul>                                                                                                             |

|                                        |                                                                       |
|----------------------------------------|-----------------------------------------------------------------------|
|                                        | foreign exchange organization (e.g. a commercial bank).               |
| <b>Terms of payment</b>                | <ul style="list-style-type: none"> <li>No, but recommended</li> </ul> |
| <b>IBAN and BIC number of supplier</b> | <ul style="list-style-type: none"> <li>No, but recommended</li> </ul> |

| <b>Specific references for invoices</b>                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Invoice reference in case of IT exemption or reverse charge</b>                                                                                                                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                  |
| <b>List the required references in case of exemption or reverse charge</b>                                                                                                                                                                                                                                                                                                                                                                                                           | <ul style="list-style-type: none"> <li>None</li> </ul>                                                                                                                                                                                                                                                |
| <b>Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?</b> | <ul style="list-style-type: none"> <li>N.a.</li> </ul>                                                                                                                                                                                                                                                |
| <b>Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable</b>                                                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"> <li>No, A tax invoice is not required to be issued for a margin scheme sale of real property.</li> <li>A tax invoice for a B2B taxable supply of 'valuable metals' (i.e. gold, silver, platinum) must clearly state that the supply is reverse-charged.</li> </ul> |
| <b>Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions</b>                                                                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                  |
| <b>Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)</b>                                                                                                                                                                                                                                                                                                                                         | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                  |

|                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Specific references required in case invoicing is outsourced</b>                                                                                                       | <ul style="list-style-type: none"> <li>There is no specific wording necessary. Please consider that the identity of the third party has to be guaranteed. The invoice should not make it appear as if the third party is the provider of the service. In this case, there is the risk that the third party is the debtor of the VAT (too).</li> </ul> |
| <b>Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment</b> | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                  |
| <b>Other specific requirements/references to be mentioned on an invoice</b>                                                                                               | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                  |

## 6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

| Simplified invoicing                                                          |                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Possible to issue simplified invoices for certain supplies</b>             | <ul style="list-style-type: none"> <li>Yes, tax invoices for supplies of less than AUD 1,000 do not need to show any details about the customer.</li> </ul>                                                                                                                                                                                                                            |
| <b>Maximum amount for simplified invoices</b>                                 | <ul style="list-style-type: none"> <li>AUD 999,99</li> </ul>                                                                                                                                                                                                                                                                                                                           |
| <b>Other supplies for which a simplified invoice can be issued</b>            | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                                                   |
| <b>Simplified invoices limited to certain type of supplies</b>                | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                                                   |
| <b>Simplified invoices not allowed for certain transactions</b>               | <ul style="list-style-type: none"> <li>No</li> </ul>                                                                                                                                                                                                                                                                                                                                   |
| <b>Minimum content requirements on a simplified invoice</b>                   | <ul style="list-style-type: none"> <li>All requirements for regular tax invoices, except the requirement to include the recipient's identity or ABN.</li> </ul>                                                                                                                                                                                                                        |
| <b>Invoices subject to the national invoice requirements (not self-bills)</b> | <ul style="list-style-type: none"> <li>Invoices issued by an established supplier that are taxable in our country, Invoices issued by a non-established supplier on which VAT is due by the supplier. In Australia, invoicing requirements for GST purposes, apply to "tax invoices". All details above and below that refer to invoices, are in respect of "tax invoices".</li> </ul> |

|                                                                                       |                                                      |
|---------------------------------------------------------------------------------------|------------------------------------------------------|
| <b>(other) Invoices subject to the national invoice requirements (not self-bills)</b> | <ul style="list-style-type: none"> <li>No</li> </ul> |
|---------------------------------------------------------------------------------------|------------------------------------------------------|

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

## 6.6. Rectification document

In Australia, credit note must be issued as rectification documents. A credit note should include at least the following information:

| Specific references for rectification documents                                                                                 |                                                                                                                                                                                                                                                                                                            |
|---------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Must the word "credit note" be mentioned</b>                                                                                 | <ul style="list-style-type: none"> <li>Yes, it must have the word "Adjustment Note" (you may also include the words "credit" or "debit") for example, 'Credit Adjustment Note', 'GST Adjustment'; 'Tax Invoice Adjustment'; 'Amended Tax Invoice', etc.</li> </ul>                                         |
| <b>Reference to original invoice required on a credit note</b>                                                                  | <ul style="list-style-type: none"> <li>When an adjustment note is issued by a supplier, there is no requirement that the original tax invoice is referenced, whether by number, issue date or otherwise.</li> </ul>                                                                                        |
| <b>Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')</b> | <ul style="list-style-type: none"> <li>Yes, an adjustment note must set out the amount of the adjustment to the GST payable, and if there is a difference between the price of the supply before the adjustment event and the price of the supply after the adjustment event – that difference.</li> </ul> |
| <b>Reason for credit required</b>                                                                                               | <ul style="list-style-type: none"> <li>Yes, an adjustment note must set out a brief explanation of the reason for the adjustment.</li> </ul>                                                                                                                                                               |

| Sequential numbering                                                  |                                                       |
|-----------------------------------------------------------------------|-------------------------------------------------------|
| <b>Separate sequential credit note numbering required</b>             | <ul style="list-style-type: none"> <li>No</li> </ul>  |
| <b>Allowed to issue one credit note to correct different invoices</b> | <ul style="list-style-type: none"> <li>Yes</li> </ul> |

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

## 6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.



# 7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier’s and the Recipient’s perspective, as varying rules may apply.

| Item                                                                               | Supplier                                                                                                                                                                        | Recipient                                                                                                                                                                       |
|------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Whether it is mandatory to ensure I&A in the jurisdiction                          | <ul style="list-style-type: none"><li>Invoices must be stored in such a way as to guarantee their integrity, authenticity and availability during the storage period.</li></ul> | <ul style="list-style-type: none"><li>Invoices must be stored in such a way as to guarantee their integrity, authenticity and availability during the storage period.</li></ul> |
| Which methods for ensuing I&A are provisioned for                                  | <ul style="list-style-type: none"><li>Any method accepted: EDI, Business Controls and eSignature</li></ul>                                                                      | <ul style="list-style-type: none"><li>Any method accepted: EDI, Business Controls and eSignature</li></ul>                                                                      |
| Which requirements apply for I&A methods if ensured by a third-party (outsourcing) | <ul style="list-style-type: none"><li>None, but recommended</li></ul>                                                                                                           | <ul style="list-style-type: none"><li>None, but recommended</li></ul>                                                                                                           |

## 7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

| Item                               | Commentary                                              |
|------------------------------------|---------------------------------------------------------|
| e-Signature technical requirements | <ul style="list-style-type: none"><li>Allowed</li></ul> |



|                                     |                                                                                        |
|-------------------------------------|----------------------------------------------------------------------------------------|
| <b>Automated e-signing</b>          | <ul style="list-style-type: none"> <li>• Allowed without further conditions</li> </ul> |
| <b>Time-stamping of e-signature</b> | <ul style="list-style-type: none"> <li>• No explicit requirements</li> </ul>           |

## 7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

| Item                                    | Commentary                                                                   |
|-----------------------------------------|------------------------------------------------------------------------------|
| <b>Validation upon receipt</b>          | <ul style="list-style-type: none"> <li>• No explicit requirements</li> </ul> |
| <b>Time-stamping of validation data</b> | <ul style="list-style-type: none"> <li>• No explicit requirements</li> </ul> |



## 8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

| Item                                                                                              | Commentary                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Components to be stored (e.g. tax invoice, source documents, audit trail, I&amp;A proof)</b>   | <ul style="list-style-type: none"><li>Records that record and explain all transactions and other acts engaged in that are relevant, for GST purposes, to a supply, importation, or acquisition. Records containing particulars of elections, choices, estimates, determinations, and calculations made for the purposes of complying with the GST law. Original invoice. When an eSignature is used, storage of the eSignature and certificate is recommended.</li></ul> |
| <b>Requirements to present stored documents in a specific audit format</b>                        | <ul style="list-style-type: none"><li>No requirements for capabilities to transform to audit format.</li></ul>                                                                                                                                                                                                                                                                                                                                                           |
| <b>Legibility, i.e. the ability to read stored e-documents by an untrained eye</b>                | <ul style="list-style-type: none"><li>Required</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Legibility requirements</b>                                                                    | <ul style="list-style-type: none"><li>If the original e-invoice is in machine-readable format, the taxable person must offer means to provide human-readability.</li></ul>                                                                                                                                                                                                                                                                                               |
| <b>Retention period for invoices not related to immovable property<sup>7</sup></b>                | <ul style="list-style-type: none"><li>5 years from invoice date.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Start point of retention period calculation for invoices not related to immovable property</b> | <ul style="list-style-type: none"><li>Generally, the 5-year retention period for records (including invoices and tax invoices) starts from when the record was prepared or obtained, or the transaction or act the record relates to was completed, whichever is later. Records should also be kept long enough to cover the period of review for an assessment that uses</li></ul>                                                                                      |

<sup>7</sup> Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

|                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-----------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                         | information from the record. In the case of a GST return, the period of review is four years. In many cases, the five-year retention period will cover the period of review.                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Retention period for e- invoices related to immovable property</b>                                                                   | <ul style="list-style-type: none"> <li>• 5 years</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Start point of retention period calculation for invoices related to immovable property</b>                                           | <ul style="list-style-type: none"> <li>• Generally, the 5-year retention period for records (including invoices and tax invoices) starts from when the record was prepared or obtained, or the transaction or act the record relates to was completed, whichever is later. Records should also be kept long enough to cover the period of review for an assessment that uses information from the record. In the case of a GST return, the period of review is four years. In many cases, the five-year retention period will cover the period of review.</li> </ul> |
| <b>Retention period for other than regular invoices or invoices related to immovable property (if existing):</b>                        | <ul style="list-style-type: none"> <li>• Same as above</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Start point of retention period calculation for other than regular invoices or invoices related to immovable property:</b>           | <ul style="list-style-type: none"> <li>• All invoices are subject to the same storage period start point – see above. All records should also be kept long enough to cover the period of review for an assessment that uses information from the record. In the case of a GST return, the period of review is four years. In many cases, the five-year retention period will cover the period of review.</li> </ul>                                                                                                                                                  |
| <b>Outsourced archiving</b>                                                                                                             | <ul style="list-style-type: none"> <li>• Allowed</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Archiving abroad<sup>8</sup> and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)</b> | <ul style="list-style-type: none"> <li>• Provided the records are readily accessible if requested by the ATO</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Other requirements in relation to electronic document retention</b>                                                                  | <ul style="list-style-type: none"> <li>• No</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

<sup>8</sup> In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



## 9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

| Document                          | Commentary                                                                 |
|-----------------------------------|----------------------------------------------------------------------------|
| <b>Purchase order</b>             | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| <b>Rectification document</b>     | <ul style="list-style-type: none"><li>• See section 6.6</li></ul>          |
| <b>Payment instruction</b>        | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| <b>SAF-T (or alike) reporting</b> | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |
| <b>Transportation documents</b>   | <ul style="list-style-type: none"><li>• No explicit requirements</li></ul> |



## 10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

### 10.1. Public procurement

Since 1 July 2022, all Australian Government agencies covered by mandate were required to be e-Invoicing-enabled. Click [here](#) for a full list of eInvoicing-enabled Australian Government agencies.

### 10.2. Indirect tax reports

No explicit requirement to produce any form of indirect tax reports.

### 10.3. Digital Business Council

Australia's Digital Business Council has built an eInvoicing Interoperability Framework, for which access providers are required to be accredited in order to join the network.

The Digital Business Council has not formally disclosed the broad intentions of the framework, if it is to be used for all eInvoice transactions or merely B2G. Either way e-invoicing in Australia remains voluntary at the present.

The Interoperability Framework – ultimately a 4-corner model – is a set of policies, standards and guidelines which enable any two parties to communicate electronically, irrespective of the system or standard that they use. The current policy of the Digital Business Council and the Australian Tax Authority (ATO) is that a broad adoption of eInvoicing will primarily be possible by facilitating an interoperable eInvoicing environment that will allow various technology providers and systems to recognise each other's eInvoices, while using a common directory to manage digital addresses.

## 10.4. Peppol

In 2019, the Australian Government adopted the Peppol framework. In Australia, the Australian Tax Authority (ATO) is the Peppol Authority.

The Prime Ministers have also established the Australia New Zealand Electronic Invoicing Board (ANZEIB) which would set the direction on how e-Invoicing will be rolled out over the next few years.

Through access points businesses can connect to the network. Here is a list of access points of Peppol accredited service providers.

### **E-invoicing Pilot Program- Digital Strategy for the Western Australian Government**

The [Digital Strategy Roadmap](#) provides an overview of the transformation journey and key initiatives we pursue to deliver the Digital Strategy.

In 2021, WA joined the Commonwealth, state and territory Governments in a commitment to accelerate the adoption of eInvoicing based on the Peppol framework.

WA will pilot eInvoicing with three WA agencies. The pilot would enable the WA Government to better understand Peppol eInvoicing and plan for larger scale implementation.

During 2022, the pilot was scoped and funded, pilot agencies were identified, and the program was commenced.

By the end of 2023, the e-invoicing trial with the three agencies and the pilot will be completed.

## 10.5. Digital Service Providers Australia New Zealand (DSPANZ)

Except from the B2G mandate coming into place there are also efforts outside ATO to enhance business transactions and network building between private and public entities in Australia and New Zealand from the non-profit organization DSPANZ. DSPANZ promotes transformations within payroll, tax, accounting, and finance operations by delivering digital solutions. The work is helping to push the digital economy while improving user experiences and government policy outcomes. Members range from large companies to start-ups.

As a part of DSPANZ, the e-delivery of business - e-invoicing sub-committee looks to support software developers and interested parties involved in the development and adoption of e-invoicing solutions in Australia, New Zealand and across the Peppol network. The sub-committee provides a platform for the broader Australian and New



Zealand software industries to engage, participate and collaborate on A-NZ Peppol e-invoicing.

## 10.6. Budget

### **Consultation paper released in November 2020**

This [consultation paper](#) requested feedback and comments regarding the e-invoicing proposal plan. The e-invoicing proposal in the private sector via Peppol had three potential options.

- Option 1: a phased approach to introducing a requirement that all businesses adopt Peppol e-Invoicing (without prohibiting paper invoices)
- Option 2: a mandate for large businesses only
- Option 3: non-regulatory options to such as a voluntary code of e-Invoicing and/or promotion of Peppol e-Invoicing by enabled organisations

In the 2020-21 Budget, the Government announced its intention to accelerate e-Invoicing adoption in the public sector. Amongst other actions, the Government provided funding until June 2022 for the ATO in its role as the Peppol Authority, to continue working with all levels of government, with the aim of encouraging adoption and assisting with implementation of Peppol e-Invoicing. This includes:

- Actively promoting awareness of e-Invoicing to encourage early adoption amongst government bodies.
- Engaging with service providers of government bodies to encourage development of fit-for-purpose e-Invoicing solutions.
- Providing direct support to government bodies who need assistance or guidance for e-Invoicing adoption.
- Providing a suite of information resources and tools to support e-Invoicing adoption by government bodies.
- Establishing a Whole-of-Government Panel to support procurement of e-Invoicing access point and reduce integration costs for government bodies.

### **Consultation paper released in December 2021**

In this [consultation paper](#) BER (business e-invoicing right) was introduced, which was a new concept to accelerate e-invoicing. This consultation requested feedback on BER and accepted suggestions on other methods for the acceleration of e-invoicing implementation. This consultation paper proposed a phases rollout plan and gave an example of roll out dates.

- Phase 1: All businesses would have the right to request and receive Peppol eInvoices from large businesses. Large businesses would have a legal obligation to provide Peppol eInvoice on receipt of a valid request.
- Phase 2: All businesses would have the right to request and receive Peppol eInvoices from medium-sized and large businesses. Medium-sized and large businesses would have a legal obligation to provide Peppol eInvoices on receipt of a valid request.
- Phase 3: All businesses would have the right to request and receive Peppol eInvoices from all businesses. All covered businesses would have the legal obligation to provide Peppol eInvoices on receipt of a valid request.

As an example, Phase 1 could commence from 1 July 2023, Phase 2 on 1 July 2024 and then Phase 3 for all covered businesses from 1 July 2025.

In the 2021-22 Budget the Government continued its investments to spread awareness and accelerate the promotion of e-Invoicing requiring Australian Government agencies to receive e-Invoices by 1 July 2022.

As of today, there has not been any further update on the outcome of these consultation papers.

## 10.7. Business Industry Codes (BIC)

A business industry code (BIC) is five-digit code businesses include on relevant tax returns and schedules that describes their main business activity.

BICs are derived from the Australian and New Zealand Standard Industrial Classification (ANZSIC) codes and have been simplified for tax return reporting purposes. [Here](#) you can find the list of the BICs.

## 10.8. Penalties

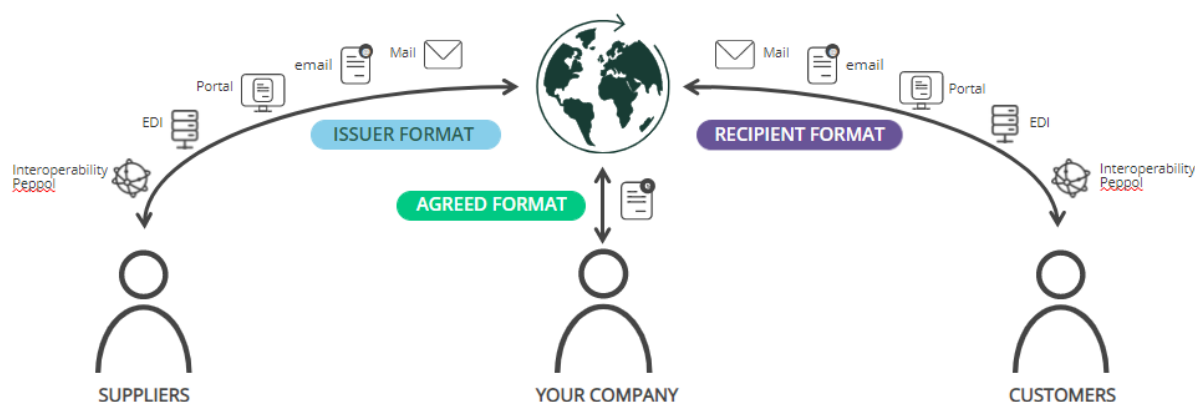
There is no e-invoicing mandate in Australia, therefore there are no penalties related to failure to issue e-invoices. However, there are penalties for those that fail to fulfill tax obligations. The penalty is 20 penalty units (which is currently \$3,698). Australia Federal Government offers 5-day payment terms for suppliers who use e-invoicing for AP (any late payments result in interest accumulation).

## 11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

### 11.1. Document issuance (AR) with Pagero

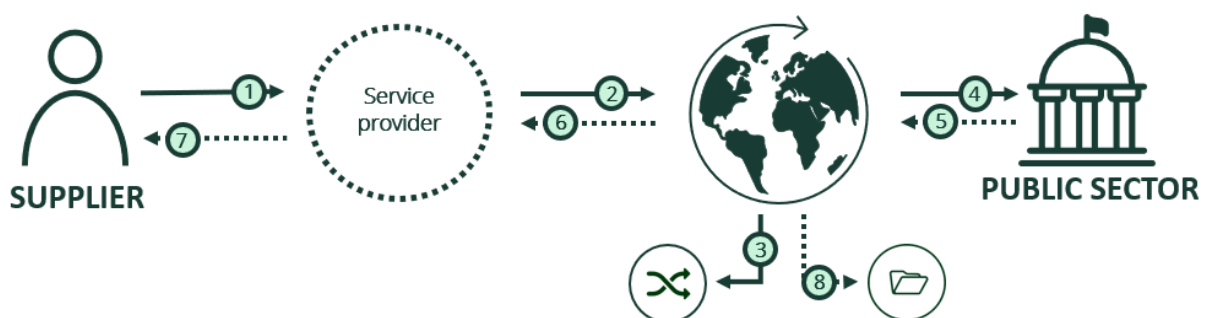
#### B2B e-document exchange with Pagero:



- (1) Supplier provides data in supplier preferred format to PAGERO
- (2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (3) PAGERO sends the final e-document in a legally predefined format and according to a legally predefined exchange protocol
- (4) RSP/buyer sends the received e-document to the buyer in buyer format
- (5-7) Return communication from the buyer to the supplier, i.e. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- (8) PAGERO archives all relevant document on behalf of the supplier.

**B2G e-document issuance (AR) with Pagero:**

- 1) Supplier provides data in supplier preferred format to PAGERO
- 2) PAGERO performs i.a. content validation, content enrichment and conversion, document format conversion, applies e-signatures, etc.
- 3) PAGERO returns the finalized e-invoice to the supplier
- 4) PAGERO sends the final e-document to the receiving service provider (RSP) / buyer in a legally predefined format and according to a legally predefined exchange protocol
- 5) RSP/buyer sends the received e-document to the buyer in buyer format
- 6) -8) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- 9) PAGERO archives all relevant document on behalf of the supplier

**11.2. Document reception (AP) with Pagero**

- 1) Supplier provides data in supplier preferred format to the sending service provider (SSP)
- 2) SSP/supplier sends the final e-document to PAGERO in a legally predefined format and according to a legally predefined exchange protocol

- 3) PAGERO performs i.a. content validation, content enrichment and conversion, format conversion, applies e-signature validations, etc.
- 4) PAGERO sends the received e-document to the buyer in buyer format
- 5) -7) Return communication from the buyer to the supplier, i.a. receipt acknowledgement, document approval or rejection, which could be optional or mandatory
- 8) PAGERO archives all relevant document on behalf of the buyer



## 12. Closing statements

### 12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

### 12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.





## Revision history

| Date             | What has changed                                                                                                                                     |
|------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| 08 August 2018   | <ul style="list-style-type: none"><li>• Document created</li></ul>                                                                                   |
| 18 October 2018  | <ul style="list-style-type: none"><li>• Addition of Trans-Tasman eInvoicing framework</li></ul>                                                      |
| 30 November 2021 | <ul style="list-style-type: none"><li>• Amended information and Peppol for B2G and B2B development</li><li>• Amended flowcharts section 11</li></ul> |
| 07 March 2022    | <ul style="list-style-type: none"><li>• Quality check</li></ul>                                                                                      |
| 23 March 2022    | <ul style="list-style-type: none"><li>• Added section 10.7</li></ul>                                                                                 |
| 14 July 2023     | <ul style="list-style-type: none"><li>• Documented updated</li></ul>                                                                                 |
| 26 July 2023     | <ul style="list-style-type: none"><li>• Section 10.8: Added penalties</li></ul>                                                                      |